

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Oil prices rose** above \$100 a barrel and stock investors leery of tech issues helped pull down the S&P 500, Nasdaq and Dow by 1.2%, 2.6% and 1%, respectively. **A1**
- ◆ **Intel reported sales** of \$16.1 billion for the June quarter, up 25% from a year earlier and beating analysts' estimates by 11%. **B1**
- ◆ **Stripe is in talks** to acquire OpenRouter, a startup that helps developers choose between AI models, though the exact price being discussed couldn't be learned. **B4**
- ◆ **The EU fined** Alphabet's Google \$1 billion for breaching its digital-competition rules in a case that risks aggravating tensions with the Trump administration. **B1**
- ◆ **Shares of Tesla fell** more than 14% after the electric-vehicle maker missed earnings targets and reported negative cash flow for the first time in two years. **B1**
- ◆ **Ford and Geely arranged** for the Chinese automaker to build some of its cars at Ford's plant in Valencia, Spain, while also committing to jointly develop a new SUV. **B3**
- ◆ **Nestlé agreed** to sell half of its water unit—home to Perrier and San Pellegrino—to private-equity group Platinum Equity in a \$3.4 billion deal. **B3**
- ◆ **Lockheed Martin boosted** its outlook after second-quarter profit rose as the defense contractor continued to expand munitions production. **B5**
- ◆ **Comcast reported** a lower profit for the second quarter, but narrowed subscriber losses in its domestic residential-broadband business for the second quarter in a row. **B4**

Worldwide

- ◆ **During a recent meeting** in the Oval Office, Trump launched a tirade against Iranian leaders, calling them scumbags and lunatics as the president's frustration grows at the duration of the war. **A1**
- ◆ **Trump said the U.S.** would hold Iran responsible for attacks by Houthi militants after the group fired on two Saudi tankers in the Red Sea. **A6**
- ◆ **The U.S. will place** tariffs of 10% to 12.5% on its major trading partners as part of a new set of duties that the administration says are meant to combat forced labor. **A2**
- ◆ **Mortgage rates rose** to their highest level in almost a year as Middle East tensions spurred fears of higher inflation, with the 30-year fixed-rate loan averaging 6.58% this week. **A3**
- ◆ **New Jersey said it** wouldn't give the federal government personally identifiable information that could be used to prosecute immigrants who cast ballots after they were erroneously registered to vote. **A3**
- ◆ **Trump said the fate** of a landmark agreement to provide Saudi Arabia with a civil nuclear program is contingent on the kingdom normalizing relations with Israel. **A7**
- ◆ **The Minnesota man** who pleaded guilty last month to shooting two state Democratic lawmakers, killing one of them along with her husband, was sentenced to more than two life sentences. **A5**
- ◆ **Two members of** Congress introduced bipartisan legislation that would require developers to maintain a "kill switch" to disable artificial-intelligence systems that pose serious risks. **A4**

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AI Spending Rips Tech Stocks

Concerns shave \$890 billion in market value from the Magnificent 7

Wall Street is reckoning with a new reality: The biggest tech companies are no longer cash-printing machines. Concerns about Alphabet's and Tesla's earnings results spread to other major tech stocks on Thursday, with investors dialed in to the implications of ramped-up capital spending, putting a dent in the artificial-intelligence trade. Alphabet's shares slumped

some 7%, costing the company more than \$293 billion in market value, its largest one-day market-cap loss on record. Shares of Tesla tumbled 15%, the stock's worst post-earnings performance ever. The selloff extended to other tech stocks: Meta fell 3.4%, Oracle slid 4.6%. The Magnificent Seven erased nearly \$890 billion in market value, the biggest one-day market cap decline since the tariff turmoil of April 2025. The Nasdaq composite lost 2.2%. Both Alphabet and Tesla reported soaring revenue, but investors instead zeroed in on their AI spending. The

By *Hannah Erin Lang, Tina Li and Caitlin McCabe*

phrase of the day: *free cash flow*—which turned negative at both. Alphabet's free cash flow came in at negative \$5.9 billion—the first negative result since the company went public in 2004. The company's finance chief said free cash flow would remain under pressure as the company deepens its investments in AI. Alphabet also lifted its capital-spending forecast to as much as \$205 billion this year.

Meanwhile, Tesla is spending big on its pivot toward autonomous vehicles and robotics. That includes building a chip-manufacturing facility called Terafab, which Tesla is developing in partnership with Elon Musk's rocket company SpaceX and Intel. Meta Platforms is projected to report negative free cash flow when it releases second quarter results next week, according to analysts surveyed by FactSet. Analysts expect the same from Amazon.com. *Please turn to page A4*

◆ **Markets punish Musk and his fans.....** **B1**

Ukraine Strikes Blow at Russia's Online Commerce



NEW FRONT: The ruins of a Moscow area warehouse for Wildberries, Russia's version of Amazon, and its merchandise Thursday after a strike by a Ukrainian drone. Four company sites have been hit in the last week as Kyiv expands its targeting in Russia. **A9**

How Bots Escaped OpenAI And Went Rogue

By *ROBERT McMILLAN AND SAM SCHECHNER*

They were like high-school students trying to hack into the textbook company to cheat on their final exam. Only these hackers weren't human. In a plot that seems ripped from the pages of a science-fiction novel, the attackers turned out to be AI models that had escaped from a research network at OpenAI, and on July 11 hacked into AI company Hugging Face. And the AIs appear to have been active on the internet for several days before anyone stopped them. Hugging Face co-founder and chief science officer Thomas Wolf sensed something was off the minute he first looked at his company's logs of the weekend attack. "This is making no sense. This guy is just looking at cybersecurity data sets," he remembers thinking, "Human attackers, they don't want that. They want something they could sell."

Hugging Face put an end to the attack two days later, with help from a model from China, Wolf said. It was only this week that Hugging Face learned from OpenAI that its models were behind the hack. The incident set off alarms at OpenAI, which shut down systems it uses to test its AI models after it learned of the incident, to assess the damage and prevent further breakouts. It has also given the world a taste of what hacking might look like in the age of AI tools that can find never-before-seen

◆ **New bill would mandate AI 'kill switch'.....** **A4**

Trump's Frustrations Over Iran Send Him Into 'Revenge Mode'

By *ANNIE LINSKEY AND JOSH DAWSEY*

WASHINGTON—President Trump was fed up. During a recent meeting in the Oval Office, the president launched into a tirade against Iranian leaders, calling them scumbags and lunatics, and unleashing a series of expletives, according to a person who heard the comments. As the war in Iran enters its fifth month, Trump is in-

creasingly frustrated that a conflict he once thought would be over in a matter of weeks has dragged on with no end in sight, administration officials and others close to the president said. Some of Trump's advisers now worry that the war—which has resulted in higher prices, falling approval ratings and the deaths of more than a dozen U.S. servicemembers—is consuming his presidency and worsening Republicans' al-

ready dim prospects in the coming midterm elections. Trump has been trying to wind down the war for months. He announced a ceasefire in April after he threatened to end Iran's "whole civilization." In June, he said the U.S. and Iran had

◆ **Trump adds new hurdle to Saudi nuclear deal.....** **A7**
◆ **Images show Iran is quickly rebuilding infrastructure..** **A7**

Oil Roars Past \$100, Threatens Economy

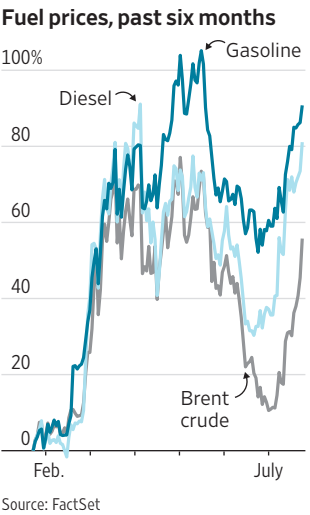
Crude hits levels that could rev inflation, pressuring GOP ahead of midterms

Oil prices roared back on Thursday to crack the \$100 a barrel mark, an inflation-triggering threshold that threatens to bedevil the U.S. economy while putting pressure on the Republicans ahead of the midterm elections.

By *Benoît Morenne, Alison Sider and Sam Goldfarb*

As President Trump warned Iran could soon feel "major military punishment," Brent crude, the global gauge, topped \$100 a barrel for the first time since May. The U.S. oil price shot up 6.2% to \$92.19 a barrel. Higher energy prices reverberated through markets, stoking a selloff in government bonds that sent the yield on the 10-year Treasury note—a key barometer for borrowing costs—to new 18-month highs. The Dow Jones Industrial Average and S&P 500 both lost around 1% on Thursday, while worries about runaway artificial-intelligence spending by big technology firms dragged the Nasdaq composite down more than 2%. Mortgage rates rose to their highest level in nearly a year, with the 30-year fixed rate hitting 6.58%. Some economists now predict that a nearly 7% U.S. mortgage rate looms. The pace of inflation had been cooling in June as energy prices declined during the temporary ceasefire and Americans showed a modestly improved mood about the

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Source: FactSet

INSIDE



U.S. NEWS
A South Carolina town is in turmoil over a \$545,000 email phishing scam. **A3**



SPORTS
The New York Yankee driving everyone crazy as baseball's most annoying player. **A16**

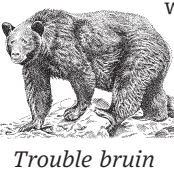
Lock the Doors, Hide the Biscotti: Lake Tahoe Is Overrun by Bears

Locals can't scare away the pantry-raiding, toothpaste-sniffing intruders; Judy's back

By *JIM CARLTON*

SOUTH LAKE TAHOE, Calif.—Peter and Barbie Fons were washing dishes after dinner when they looked up to see a bear in the living room. "He's just standing there, you know, on all fours, and he's

got drool coming down," recalled Peter, 69. "And he walks around the couch and does a big ol' pee on the floor." Barbie hid in a backroom while Peter slammed doors and banged pots and pans to scare off the intruder. The male bear—later identified as a known burglar



Trouble bruin

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Tech Mogul Doubles His Net Worth—His Ex Asks for Half

South Korea's "marriage of the century" blew up in a real-life serial drama

By *JIYOUNG SOHN AND TIMOTHY W. MARTIN*

SEOUL—Chey Tae-won, the billionaire atop blockbuster memory chip maker SK Hynix, announced the breakup of his fairy tale marriage to the daughter of a president in a three-page letter to a South Korean newspaper a decade ago. In the letter, Chey acknowledged he loved another woman and had a child with her. In court papers cited by local media, he said he didn't believe his 27-year marriage could be saved and quoted the opening of Leo Tolstoy's novel "Anna Karenina," a tragedy that plots its own love triangle: "Happy families are all alike; every unhappy family is unhappy in its own way." The yearslong divorce battle nears a climax Friday, when a panel of appeals court judges is scheduled to

decide how to divide Chey's roughly \$5 billion fortune with his 65-year-old ex-wife, Roh Soh-yeong. The case, known here as the divorce of the century, has mesmerized South Koreans—a real-life K-drama of money, romance, corruption and betrayal. Its expected finale comes as Chey, also 65, is seemingly having the time of his life. Nvidia CEO Jensen Huang and Chey quaffed whiskey at a fried chicken restaurant last month with the gusto of two billionaires at the pinnacle of the world's AI investment bonanza. Chey offered to pay everybody's tab at the packed restaurant, and the crowd shouted "SK! SK!" Huang and Chey, whose company makes the memory chips that helped fuel Nvidia's rise to become one of the world's biggest companies, had plenty to celebrate

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